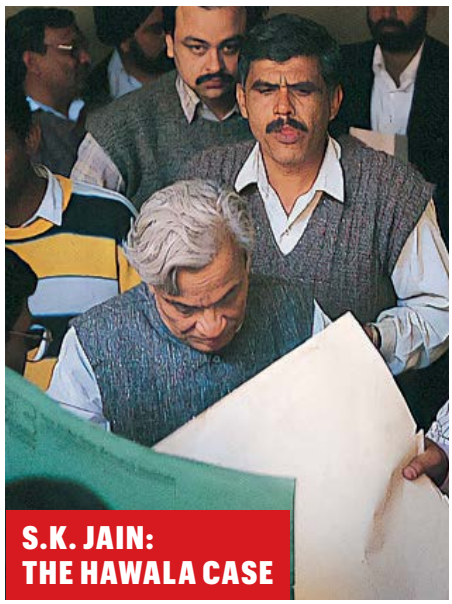
PRAMOD PUSHKARNA



S.K. JAIN: THE HAWALA CASE

BHAWAN SINGH



OTTAVIO QUATTROCHI: BOFORS SCANDAL

The 1987 Bofors gun scam was so big, it took down the Rajiv Gandhi-led Congress government in the 1989 general election. The scam involved alleged kickbacks by Swedish arms manufacturer AB Bofors to secure a $1.3 billion deal for 410 howitzers. It was alleged that Bofors paid $18 million in bribes to intermediaries to win the contract, with Italian businessman Ottavio Quattrocchi, a close associate of the Gandhis, identified as a key conduit. Later on, godman Chandraswami was implicated by the Jain Commission for dubious dealings, including a possible role in the 1991 Rajiv Gandhi assassination.

Meanwhile, 1992 saw the **Harshad Mehta securities scam**, with the stockbroker accused of colluding with bank officials to exploit loopholes in the banking system and siphon off some Rs 5,000 crore. The funds were then used to artificially inflate stock prices and create a market bubble. The revelations led to a stock market crash, wiping out crores in investor wealth. Mehta was arrested in 1992 and eventually convicted.

The next year the **Jain hawala diaries** scandal broke, with details of Rs 2,000 crore in hawala money being funnelled to politicians by the Jain brothers. Top leaders from every party were implicated. The case never led to convictions, but it did make for a landmark Supreme Court ruling demanding accountability from agencies like the CBI. ■



BOFORS AND AFTER
May 15, 1987

❝The catchy advertisement for the Bofors 155 mm howitzer calls it "the eternal weapon". For South Block, nothing could have been more ironic. Exactly a year after India signed the Rs 1,705-crore deal for the Swedish Bofors 155 mm FH-77B howitzer, it has literally become a loaded gun, pointed at the heart of the Rajiv Gandhi Government.❞